

The Morning Brief

JUNE 1, 2026

June Begins

ISM Manufacturing and CRDO earnings anchor a Monday tape opening at record highs as the Iran framework remains pending Trump's signoff.

S&P 500 (FRI CLOSE)	ES FUTURES (OVERNIGHT)	BRENT (SUN REOPEN)	ISM MFG TODAY	FEAR & GREED
7,580 · ↑~5% on May	↑0.29% per CNBC	\$92.52 · ↑1.5% per CNBC	Est 53.0 vs Prior 52.7	29 · Fear

SECTION 01

Markets

JUNE OPENS AT RECORD HIGHS WITH FUTURES HIGHER AND A HEAVY CATALYST CALENDAR — ISM MANUFACTURING THIS MORNING, CRDO EARNINGS AFTER THE CLOSE, AND THE IRAN FRAMEWORK STILL PENDING THROUGH THE WEEKEND

Per CNBC overnight coverage, S&P 500 futures traded ↑0.29% and Nasdaq 100 futures ↑0.57% as June trading opened near record highs. Friday closed the month with the S&P 500 proxy ↑0.25% to \$756.48, the Dow proxy ↑0.74% to \$510.78, and the Nasdaq proxy ↑0.37% to \$738.31 per the data drop. May delivered approximately ↑5% on the S&P, ↑8% on the Nasdaq Composite, and nearly ↑3% on the Dow per CNBC reporting, with the index logging its ninth consecutive weekly gain per TheStreet and CNBC coverage. Asia-Pacific opened mixed Monday per CNBC — South Korea's Kospi closed at a record ↑3.68%, the Hang Seng ↑0.73%, the CSI 300 ↓0.32%. Friday's GICS breadth remained thin: Tech (XLK ↑2.23%) and Financials (XLF ↑0.60%) were the only sectors green; Staples (XLP −1.80%), Energy (XLE −1.16%), and Discretionary (XLY −0.97%) led the laggards.

ES FUTURES (SUN PM)	↑0.29% per CNBC · NQ ↑0.57%
MAY RETURNS (PER CNBC)	S&P ~↑5% · Nasdaq ~↑8% · Dow ~↑3%
KOSPI (MON)	Record close · ↑3.68% per CNBC
TOP IOWN FRI	HOOD ↑11.15% · FTNT ↑6.38% · CRDO ↑6.15%
BOTTOM IOWN FRI	CTRA ↓8.62% · OKE ↓3.54% · NXPI ↓2.70%
FED HOLD ODDS (JUNE FOMC)	~97% no-change per prediction markets · Blackout starts June 6
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untouched (Fri low \$754.69)

ISM MANUFACTURING AT 9:00 AM CT IS THE FIRST REAL READ ON WHETHER THE FRIDAY CHICAGO PMI SURGE REFLECTS A BROADER REACCELERATION — A PRINT IN

EXPANSION REINFORCES THE NO-CUTS BASE CASE INTO THE JUNE 16–17 FOMC

Per the ISM and S&P Global release calendars, ISM Manufacturing PMI prints at 9:00 AM CT with consensus near 53.0 against a 52.7 prior; ISM Prices is expected at 85.5 against 84.6 prior; ISM New Orders comes off a 54.1 prior. Friday's Chicago Business Barometer at 62.7 (vs 50.5 consensus per MNI) was the largest single-month jump since the 2020 pandemic rebound; a confirming ISM print would extend the “hot growth, hot inflation” regime that drove the May tape. Per CME FedWatch coverage, prediction markets now price approximately 97% odds of a Fed hold at June 16–17, with FOMC blackout beginning June 6. The committee's dividend backbone (ADP, SYK, ABT, GPC, FAST) and AI infrastructure sleeve (LRCX, TSM, MRVL, CRDO, VST,

NEE) both sit constructively against this regime — cash-generative defensives that compound through plateaus and secular growth that has historically been able to perform through tightening when end-demand is strong.

CRDO REPORTS FISCAL Q4 AFTER TODAY'S CLOSE AT 4:00 PM CT — THE FIRST IOWN-SIDE TEST OF WHETHER THE DELL AI-SERVER BACKLOG TRANSLATES TO SUPPLIER FUNDAMENTALS

Per Stocktitan and Yahoo coverage, consensus sits at \$1.03 normalized EPS (↑~194% Y/Y) on revenue near \$433M (↑~155% Y/Y), against the company's prior \$425–\$435M Q4 guide. The tape carried CRDO inside a roughly 7% intraday

range Friday (\$224.50–\$240.81) before closing at \$236.03 (↑6.15%) per the data drop. Per Zacks coverage, CRDO has historically tended to beat consensus over the trailing four quarters with an average surprise near 31.6%. A clean beat with raised forward guide would extend the leadership across MRVL, TEL, and the broader connectivity layer; a guide cut at the elevated multiple would produce an outsized reaction. Per investor commentary, the key disclosures to watch are progress on ZeroFlap optics, 200G per lane traction, and customer diversification beyond the largest hyperscaler concentration.

A Monday tape that opens at record highs with the manufacturing data and the first supplier-side AI capex confirmation both due before the close is a setup where the catalysts and the positioning are aligned rather than at odds. Research Reveals Opportunities.

Geopolitics

THE 60-DAY FRAMEWORK REMAINS PENDING TRUMP'S SIGNOFF INTO MONDAY'S OPEN — SUNDAY EVENING OIL REOPENED HIGHER AS THE WEEKEND CONCLUDED WITHOUT A FINAL DETERMINATION

Per Axios, Bloomberg, CNBC, and CBS News coverage, the proposed 60-day memorandum of understanding between the US and Iran remains awaiting President Trump's final approval into Monday's open. Per CBS News reporting, Trump was briefed on the final deal and requested additional time to consider it, with further edits sent to Iran covering enriched uranium provisions and Strait of Hormuz language. The framework as reported includes a 60-day extension of the current ceasefire, unrestricted vessel traffic through Hormuz without tolls, Iranian mine removal within 30 days, sanctions waivers permitting Iran to sell oil freely, and a progressive lifting of the US blockade. Iranian state media per Fars coverage has stated the agreement is not finalized. Brent crude reopened Sunday evening at \$92.52 (↑1.5%) and WTI at \$88.83 (↑1.8%) per CNBC reporting, partially retracing Friday's ↓1.44% close at \$50.59 on the BNO ETF as the framework optimism met weekend uncertainty. For the IOWN energy sleeve (CVX, VLO, OKE, CNX, CTRA), the read is unchanged from prior briefs — the sleeve is positioned against constrained capacity and structural rerouting rather than against any single escalation path.

DEFENSE SPENDING THEMES FROM THE SHANGRI-LA DIALOGUE AND CONTINUED SOUTH KOREA HELICOPTER PROCUREMENT REINFORCE THE LMT/GD HEDGE ROLE ACROSS EITHER IRAN RESOLUTION

Per CNBC coverage of the 2026 IISS Shangri-La Dialogue, Defense Secretary Hegseth's remarks on Asian alliance burden-sharing and lessons from Ukraine sit consistent with the bottom-up bull case for the IOWN defense sleeve regardless of which way the Iran framework resolves. Separately, per Yahoo reporting, South Korea ordered \$4.2 billion in military helicopters from Boeing and Lockheed Martin, adding a discrete catalyst to the LMT thesis. The combination of a still-elevated US defense budget posture, broadening NATO and Pacific commitments, and structural backlog visibility supports the orthogonal-hedge role of LMT and GD against the binary Iran outcome. A Trump signoff would extend the recent risk-on compression in oil and travel-

adjacent names; a breakdown or another strike exchange would re-introduce the war premium on a constrained base where the energy sleeve still earns the structural cash flows underneath. Either path leaves defense exposure intact.

TRUMP SIGNOFF	Still pending into Monday open per CNBC/Axios/Bloomberg
TRUMP EDITS	Enriched uranium · Hormuz language sent to Iran per CBS
IRAN POSTURE	Fars: agreement not finalized
BRENT (SUN REOPEN)	\$92.52 · ↑1.5% per CNBC
WTI (SUN REOPEN)	\$88.83 · ↑1.8% per CNBC
BRENT (MAY)	~↓19% on month per CNBC
SOUTH KOREA HELICOPTERS	\$4.2B Boeing/LMT order per Yahoo

On Our Radar

1. ISM Manufacturing PMI at 9:00 AM CT — consensus 53.0 vs 52.7 prior, with ISM Prices expected at 85.5 vs 84.6 prior per the data drop. Per the data drop, the S&P Global US Manufacturing PMI Final also prints today with consensus at 55.3 against a 54.5 prior, sitting above ISM and consistent with the May flash reading. A consensus or higher print would extend the “hot growth” narrative from Friday’s Chicago PMI 62.7 surge and reinforce the no-cuts base case into the June 16–17 FOMC. The Prices component remains the more inflation-sensitive read — a print above the 85.5 expectation would re-elevate the rate-path conversation in front of the FOMC blackout starting June 6. Fed Governor Waller speaks at 7:30 AM CT per the data drop calendar; his recent remarks supported the April pause citing energy-shock pass-through. *Avoid Erosion.*

2. CRDO fiscal Q4 prints after Monday’s close at 4:00 PM CT — consensus near \$1.03 EPS on \$433M revenue against the company’s prior \$425–\$435M guide per Stocktitan and Yahoo coverage. Per Zacks, CRDO has beat consensus in each of the trailing four quarters with an average surprise near 31.6%. The Friday close at \$236.03 (↑6.15%) carried elevated option-implied volatility into the print, consistent with a roughly 7% intraday range that session. Investor focus per pre-print commentary sits on ZeroFlap optics progress, 200G per lane traction, customer diversification, and FY27 confidence signals. A clean beat with raised forward guide would extend the supplier-side AI capex confirmation that began with Dell’s \$51.3B AI server backlog disclosure last week; a guide cut at the multiple would produce an outsized reaction. *Think Like an Owner.*

3. The Iran framework remains the binary catalyst into the open — the IOWN energy sleeve carries asymmetric outcomes against Brent’s May compression. A confirmed Trump signoff this week would extend the framework bid and further compress the residual war-risk premium across CVX, VLO, OKE, and CNX; the names would still earn the structural cash flows underneath. A breakdown or another strike exchange would re-introduce the war premium on a constrained base — Sunday evening’s WTI ↑1.8% reopen per CNBC suggests markets are pricing the residual tail. Defense (LMT, GD) retains its orthogonal-hedge role through either path, with the South Korea helicopter procurement reinforcing the bottom-up case. **The physical world matters.**

4. Bitcoin ETFs closed May with \$2.30B in net outflows per Benzinga — the largest monthly outflow of 2026 and the steepest since November 2025. Per the data drop, IBIT closed Friday at \$41.63 (↑0.17%) and ETHA at \$15.20 (↑0.07%); the dollar flows have moderated even as the spot tape held its range. Per pre-market commentary, BTC was changing hands near \$73K–\$76K through the weekend. The committee’s digital asset exposure (IBIT, ETHA) sits against the slower institutional accumulation pace rather than against a thesis-breaking move — the IBIT framework remains a multi-year allocation to a maturing asset class. COIN’s ↑3.72% Friday close at \$189.03 and HOOD’s ↑11.15% best-month-of-2026 print per Benzinga both suggest the crypto-adjacent equity rotation has continued even as direct ETF flows have softened. *Simplicity Over Complexity.*

5. Week ahead — ADP Wednesday, ISM Services Wednesday, and the May Employment Situation Friday June 5 at 7:30 AM CT anchor the labor-market read into the FOMC blackout. Per the BLS Employment Situation release, April nonfarm payrolls printed at ↑115K with the unemployment rate at 4.3%, following an upwardly revised ↑185K in March. The Friday release is the higher-volatility catalyst — payrolls and average hourly earnings together will determine whether the “hot growth, hot inflation” combination is sustainable or whether a labor-market crack reintroduces the slowdown risk. The FOMC blackout period begins June 6 per Fed convention, putting Friday’s release inside an information vacuum into the June 16–17 meeting. The committee’s dividend backbone is positioned to compound through whichever way the labor read breaks.

6. Carson’s active SPY \$645.80 support remains untouched as the index extends to fresh records. Friday’s SPY intraday low printed \$754.69 per the data drop — well above the level. With Fear & Greed at 29 (Fear) per the data drop against a record tape, the divergence between price and sentiment remains structurally wide.

Historically, when price and sentiment diverge at this magnitude into a binary geopolitical catalyst, the resolution tends to be sharp in whichever direction the catalyst breaks. The level remains the framework for any sustained downside scenario rather than an actionable near-term marker.